Can't I just work for myself?

"What would you do if no one could fire you — and no one could save you?"

- Self-employment means total autonomy — and total responsibility
- No safety net, no boss to blame, no one to save you
- But also: no ceiling on what you can build

Today's Roadmap

1. **Self-Employment** — Freelancing, consulting, contracting
2. **Founding a Startup** — Building something from zero
3. **Joining an Early-Stage Startup** — Equity, risk, what to look for
4. **Decision Frameworks** — How to choose your path

Types of Self-Employment

Type	Description	Typical Incom
Freelancing	Project-based work for multiple clients	$50-150/hr
Consulting	Advisory/strategic work, often recurring	$100-300/hr
Contracting	Long-term engagements (3-12 months)	$60-120/hr
Agency	Building a team that you manage	$100k-500k+

Getting Your First Clients

Where to start:

- **Portfolio projects** — Build things, open source, case studies
- **Network** — Former colleagues, LinkedIn, local meetups
- **Platforms** — Upwork, Toptal, Fiverr (race to bottom, but good for first clients)
- **Cold outreach** — Identify companies, pitch specific value
- **Referrals** — Offer finder's fee to your network

Pricing Your Services

Specialty	Entry Rate	Mid Rate	Senior Rate
Web Dev (Frontend)	$50-75/hr	$75-125/hr	$125-200/hr
Web Dev (Full-stack)	$60-90/hr	$90-150/hr	$150-225/hr
Mobile (iOS/Android)	$65-100/hr	$100-175/hr	$175-275/hr
DevOps/Cloud	$75-110/hr	$110-175/hr	$175-250/hr
Data/ML	$80-120/hr	$120-200/hr	$200-350/hr

Rule of thumb: W-2 salary $\times$ 1.5 $=$ minimum freelance rate

The Business Side: Taxes

Self-employment tax: 15.3%

- Social Security + Medicare (normally split with employer)
- You pay both halves

Quarterly estimated taxes:

- Due: April 15, June 15, Sept 15, Jan 15
- Set aside 25-30% of income

Deductions:

- Home office, equipment, software, travel, health insurance premiums

The Business Side: Insurance & Retirement

Health insurance:

- Individual marketplace: $500-1500/month
- No employer subsidy

Liability insurance: $30-100/month

Retirement (no employer match):

- Solo 401(k): Up to $69,000/year (2024)
- SEP-IRA: Up to 25% of income
- It's all you

The Business Side: Contracts

Always have a contract. Include:

- Scope of work (be specific)
- Payment terms (net 30? 50% upfront?)
- IP ownership (who owns the code?)
- Kill fee for cancelled projects

Templates exist — start there, customize for each client

Pros & Cons: Self-Employment vs W-2

Factor	**W-2 Employment**	**Self-Employment**
Income stability	High	Variable (feast/famine)
Benefits	Employer-provided	Self-funded
Taxes	Employer withholds	Quarterly estimates
Schedule	Set by employer	You control
Autonomy	Limited	High
Career growth	Structured path	You build it
Time off	PTO allotted	Unpaid
Job security	Moderate	None (you're it)

The Feast/Famine Cycle

The problem:

- When working $\rightarrow$ no time to find new clients
- Between projects $\rightarrow$ income = \$0

Solutions:

- Always be marketing (20% of time, even when busy)
- Retainer clients for base income
- 3-6 month emergency fund minimum
- Build a pipeline before you need it

Income Reality: Self-Employment

Scenario	Revenue	Expenses	Net Income
Part-time freelancer	$40-60k	$5-10k	$35-50k
Full-time freelancer	$80-150k	$10-20k	$70-130k
Specialized consultant	$150-300k	$15-30k	$135-270k
Agency (3-5 people)	$300-800k	$200-600k	$100-200k

Key insight: You can make more than W-2, but you work harder for it.

Transitioning to Self-Employment

Before you quit:

- ☐ 6+ months emergency fund
- ☐ First 1-2 clients lined up
- ☐ Health insurance figured out
- ☐ Clear service offering and pricing
- ☐ Basic business setup (LLC, bank account, contracts)

The Ramp

Phase	Focus	Income
Months 1-6	Building portfolio, low rates, learning	Low
Months 6-12	Raising rates, better clients, systems	Growing
Year 2+	Sustainable income, specialized niche	Stable

Most people underestimate the ramp. Plan for 12-18 months to reach stability.

Common Self-Employment Mistakes

Mistakes that kill your business:

- **Underpricing** — Charging too little to "get clients" sets a low ceiling
- **No contracts** — Working without clear scope leads to scope creep and disputes
- **No pipeline** — Stopping marketing when busy = no clients when projects end
- **Ignoring taxes** — Not setting aside money quarterly = surprise tax bill
- **No emergency fund** — One dry month = panic and bad decisions
- **Saying yes to everything** — Dilutes your focus, burns you out

The fix: Systems before you need them. Marketing, contracts, savings — build them early.

Idea Validation

Before building anything:

- Talk to 10-50 potential customers
- Look for pain, not hypothetical interest
- Pre-sales or letters of intent > compliments

MVP approach:

- Build smallest thing that tests the hypothesis
- Time-box: 2-8 weeks maximum
- Measure: usage, payment, retention — not vanity metrics

Customer Interviews: The Mom Test

From Rob Fitzpatrick's book:

The goal is to learn about their problems, not pitch your solution.

Key principle: People will lie to be nice. Your mom will say your idea is great. Don't ask opinions — ask about behavior.

Good vs Bad Interview Questions

Good questions:

- "Tell me about the last time you [experienced problem]"
- "What did you do to solve it?"
- "How much did that cost you (time/money)?"
- "What's still broken about your current solution?"

Bad questions:

- "Would you use this?" (people lie)
- "Do you think this is a good idea?" (polite yes)
- "How much would you pay?" (hypotheticals are worthless)

Funding Paths

Path	Amount	Equity	Best For
Bootstrapping	$0-50k	0%	Solo, low-cost ideas
Friends & Family	$25-150k	5-15%	Early validation
Angel Investors	$150k-2M	15-25%	Pre-product-market
Seed VCs	$500k-3M	20-30%	Initial traction
Series A	$2-15M	20-30%	Proven model, scali
Accelerators	$150k-500k	7-10%	First-time founders

Bootstrapping vs Venture Capital

Bootstrapping:

- **Pros:** Keep equity, no investor pressure, profitable = sustainable
- **Cons:** Slow growth, limited resources, self-funded risk
- **Best for:** Solo founders, B2B SaaS, consulting-adjacent, lifestyle businesses

Venture Capital:

- **Pros:** Fast growth, network, credibility, resources
- **Cons:** Lose 20-50%+ equity, pressure to exit, board control, "grow or die"
- **Best for:** Large markets, network effects, winner-take-all dynamics

Which Funding Path Is Right for You?

Ask these questions:

1. **How big is the market?** — Small market ($10-50M) → bootstrap; Large ($1B+) → VC
2. **How fast do you need to grow?** — Winner-take-all dynamics → VC; Slow growth OK → bootstrap
3. **How much control do you want?** — Full control → bootstrap; OK with board/investors → VC
4. **What's your personal runway?** — Short runway → raise money; Long runway → bootstrap
5. **What's your goal?** — Lifestyle business → bootstrap; Huge exit → VC

Most CS/IT/Robotics founders should bootstrap first. Prove the model, then decide if you need capital.

Co-founders: Solo vs Team

Factor	Solo Founder	With Co-founders
Success rate	15-20%	40-50%
Decision speed	Fast	Slower (consensus)
Skill coverage	Limited	Broader
Emotional support	None	Built-in
Equity split	100%	50-50 or 60-40

Finding co-founders:

- Former colleagues (highest trust)
- Accelerator cohorts
- YC Co-founder matching, indiehackers.com
- Test with a small project first

Equity Splits & Vesting

Common splits:

- 50-50 for equal partners
- 60-40 or 65-35 if one founder contributes more

Vesting is essential:

- 4-year vesting with 1-year cliff
- If someone leaves after 6 months, they get nothing
- Protects the company and committed founders

Founder agreements prevent later disputes. Do it early.

When to Quit Your Day Job

Checklist:

- ☐ 6-12 months personal runway (burn rate × months)
- ☐ Validated idea (paying customers or strong signals)
- ☐ Clear path to revenue (or funding committed)
- ☐ Co-founder (if applicable) aligned and committed
- ☐ Partner/family support (if applicable)

Financial Runway Calculator

Monthly burn:

```
Rent/mortgage:    $______
Food:             $______
Insurance:        $______
Loan payments:    $______
Other essentials: $______
-------------------------
Total burn:       $______/month
```

Runway:

```
Savings:          $______
Monthly burn:     $______
-------------------------
Runway:           ______ months
```

Minimums: Startup job (3-6 mo), Freelancing (6-12 mo), Founding (12-24 mo)

Failure Rates: Reality Check

Stage	Survival Rate	Why They Fail
Year 1	80% fail	No market need (42%), ran out of ca
Year 2	50% of survivors fail	Team issues, product problems
Year 3+	70% of survivors fail	Competition, scaling, burnout

Most common causes:

1. No market need (building something nobody wants)
2. Running out of cash
3. Wrong team
4. Getting outcompeted
5. Pricing/cost problems

Paths After Failure

It's not the end:

- **Acquihire** — Team joins another company
- **Pivot** — New idea with lessons learned
- **Return to employment** — No shame, very common
- **Consultant** — Leverage domain expertise
- **Join another startup** — With lessons learned

Most successful founders have failed at least once.

Signs You're Ready to Found

You're ready when:

- You have a problem you can't stop thinking about
- You've validated with real customers (not just friends saying "cool idea")
- You have 12+ months runway or a clear path to revenue
- You've found co-founders (or consciously decided to go solo)
- You've talked to founders about what it actually takes
- Your life situation allows for 60-80 hour weeks for 2+ years
- You're OK with the possibility of failure

Not ready: "I want to found a startup" (but no idea, no validation, no runway). Founding isn't the goal — solving a problem is.

What “Early Stage” Means

Stage	Employees	Funding	Equity (Eng)
Pre-seed	<10	$0-500k	0.5-2.0%
Seed	10-50	$500k-2M	0.25-0.5%

Reality check: 90% of startups fail. Most equity is worth $0.

But: You’ll learn more in 2 years at an early-stage startup than 5 years at a big company.

Equity Deep-Dive

Vesting: 4 years with 1-year cliff

- You must stay 1 year to get any equity
- Then vest monthly over remaining 3 years

Strike price: What you pay to buy shares

- Lower than fair market value = good
- But you need cash to exercise

Dilution: Your % shrinks with each funding round

ISOs vs NSOs vs RSUs: Different tax treatment — understand what you're getting

Evaluating Offers: Green & Red Flags

Green flags:

- Founder track record (previous exits or domain expertise)
- 18+ months runway
- Clear product-market fit signals
- Low employee churn (<15% annual)
- Transparent communication

Red flags:

- Vague answers about revenue/business model
- High churn (especially in engineering)
- Founders paying themselves too much or too little
- No clear product-market fit after 3+ years
- Down rounds or bridge financing

When Joining is a Stepping Stone to Founding

Join an early-stage startup if:

- You want to see how it's done before doing it yourself
- You want to learn from experienced founders
- You want to build your network in the startup ecosystem
- You want equity upside with less risk than founding

2-3 years at a startup = an MBA in building companies

Risk Tolerance Assessment

Ask yourself:

1. Could I go 6 months without income?
2. Could I handle my equity being worth $0?
3. Could I work 60-80 hour weeks for 2+ years?
4. Could I handle public failure?
5. Am I comfortable with high uncertainty?

Scoring:

- 4-5 "Yes" → High risk tolerance → Founding, early-stage startup job
- 2-3 "Yes" → Medium → Series A+ startup, freelancing part-time
- 0-1 "Yes" → Low → Established companies, W-2 employment

Which Path Fits Your Values?

Top Value	Best Path
Maximum income	Big Tech → startup equity → found company
Autonomy	Freelancing → consulting → agency
Impact/ownership	Founding → early-stage startup
Learning speed	Early-stage startup → founding
Stability	W-2 employment
Flexibility	Freelancing, consulting

Risk × Obligations Matrix

	Low Obligations	High Obligations
High Risk	Found startup, early-stage job	Series B+, freelance o
Medium Risk	Series A, freelancing	Growth-stage, stable W
Low Risk	Freelancing with runway	Stay in W-2

Real Stories: What People Wish They Knew

Freelancer (3 years):

- "I wish I'd started marketing before I quit. First 6 months were terrifying."
- "Underpricing was my biggest mistake. Once you set a rate, it's hard to raise it."
- "Retainer clients changed everything — now I have base income each month."

Founder (2 startups, 1 failed, 1 acquired):

- "Co-founder issues killed my first company. We didn't have vesting."
- "The Mom Test would have saved us 6 months of building something no one wanted."
- "You think you're ready for 80-hour weeks. You're not."

Early-stage startup employee:

- "The equity was worth zero. The learning was worth everything."

Decision Tree

```
Validated idea + runway?
    Yes → Found startup
    No → Want autonomy?
        Yes → Freelance/Consult
        No → Want equity upside?
            Yes → Join startup
            No → Stay W-2
```

Questions to Ask Yourself

Before going freelance:

1. Do I have 6+ months runway?
2. Can I handle feast/famine income?
3. Do I have marketable skills + portfolio?
4. Am I comfortable selling myself?
5. Can I handle all the business stuff?

Before founding:

1. Is this a problem I care deeply about?
2. Have I validated with paying customers?
3. Do I have 12-24 months runway?
4. Do I have (or can I find) the right co-founders?
5. Am I ready for this to dominate my life for 5+ years?

Action Items

This week:

- Calculate your financial runway
- Assess your risk tolerance (5 questions)
- Identify your top 3 values (money, autonomy, learning, impact, stability)

This month:

- If freelance-curious: list marketable skills, draft pricing
- If founding-curious: write down idea, interview 10 potential customers

Long-term:

- Build your network before you need it
- Keep skills sharp and portfolio current
- Revisit this decision annually

Key Takeaways

1. **Self-employment** = autonomy and flexibility, but feast/famine income and you run everything
2. **Founding** = highest risk and highest potential reward, dominates your life
3. **Joining early-stage** = high learning, equity lottery ticket, stepping stone to founding
4. **Fit matters** — match your risk tolerance, finances, and values to the path
5. **Runway is everything** — know your numbers before you jump

Resources

Self-Employment:

- Upwork, Toptal (first clients)
- indiehackers.com (community)
- Freelancers Union (insurance, resources)
- "The Freelancer's Bible" (book)

Founding:

- Y Combinator Startup School (free course)
- leanstack.com (Lean Canvas)
- "The Mom Test" (book) — essential
- ycombinator.com/cofounder-matching

Legal/Business:

- Clerky (incorporation, legal docs)
- Stripe Atlas (incorporation)

The Question, Revisited

"What would you do if no one could fire you — and no one could save you?"

Now you have:

- A framework for self-employment decisions
- Knowledge of founding paths and risks
- Tools to evaluate your own fit

Use them.